EXECUTIVE ANALYTICS CAPSTONE

Customer Churn: Where Should Retention Effort Start?

Decision brief for a fictional subscription business

Decision requested: Approve a small, measured retention pilot focused on early-tenure monthly customers and customers with repeated recent support tickets.

Data status: This version uses a reproducible synthetic demo dataset aligned to the supplied task field definitions. Replace it with the supplied CSV and rerun the analysis before submitting real findings.

Prepared as a beginner-friendly analytical example · November 2026

1. Executive summary

In the synthetic sample of 1,000 customers, overall churn is **22.0%** and retention is **78.0%**. Monthly charges associated with customers marked churned total ■**187,876**; this is exposure, not guaranteed future loss. Differences by contract, tenure, and support-ticket volume suggest where to test targeted service interventions.

KPI	Demo result	Interpretation
Customers	1,000	Synthetic sample size
Churn rate	22.0%	Churned ÷ all customers
Retention rate	78.0%	Not churned ÷ all customers
Monthly charges linked to churn	■187,876	Descriptive exposure proxy
Average tenure	35.8 months	Mean completed months

Recommended decision

Run a 4–6 week pilot with a holdout group. Prioritise early-tenure monthly customers and repeat-support-ticket customers for a human check-in or case review. Expand only if the pilot improves retention enough to justify its cost without harming customer experience.

2. Five decision-relevant insights

1. Contract type is a useful prioritisation lens

Finding: Monthly-contract churn is 29.6% versus 10.7% for annual contracts in the synthetic sample. This is an association, not proof that contract type causes churn.

Action: Pilot a voluntary save offer or service check-in for eligible monthly customers; compare against a holdout group.

2. Early tenure deserves an onboarding check

Finding: Customers with under 12 months' tenure churn at 27.9% versus 20.6% among customers with 24+ months.

Action: Add onboarding milestones at days 7, 30, and 60; monitor activation and 90-day retention.

3. Repeated support contacts may signal friction

Finding: Customers with 3+ recent tickets churn at 23.1% versus 21.8% among those with 0–2 tickets.

Action: Route repeat-ticket customers to proactive case ownership and root-cause review; do not assume tickets cause churn.

4. Monthly charges at risk are an exposure metric

Finding: Monthly charges associated with churned customers total ■187,876 in this synthetic snapshot.

Action: Track retained monthly charges after interventions and compare with a holdout; do not label all exposure as recoverable revenue.

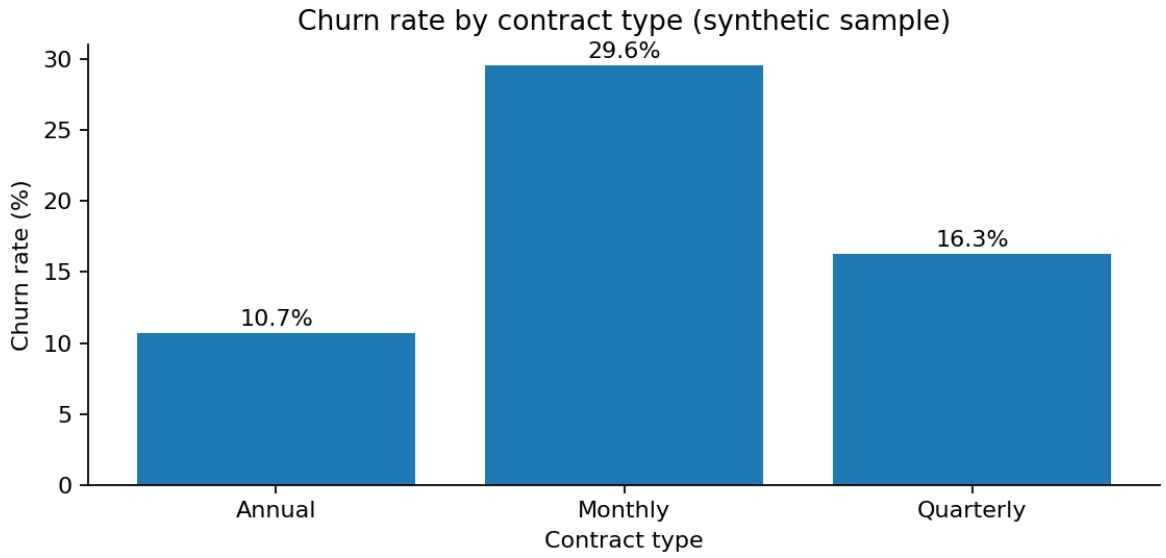
5. Targeted retention should be tested, not rolled out blindly

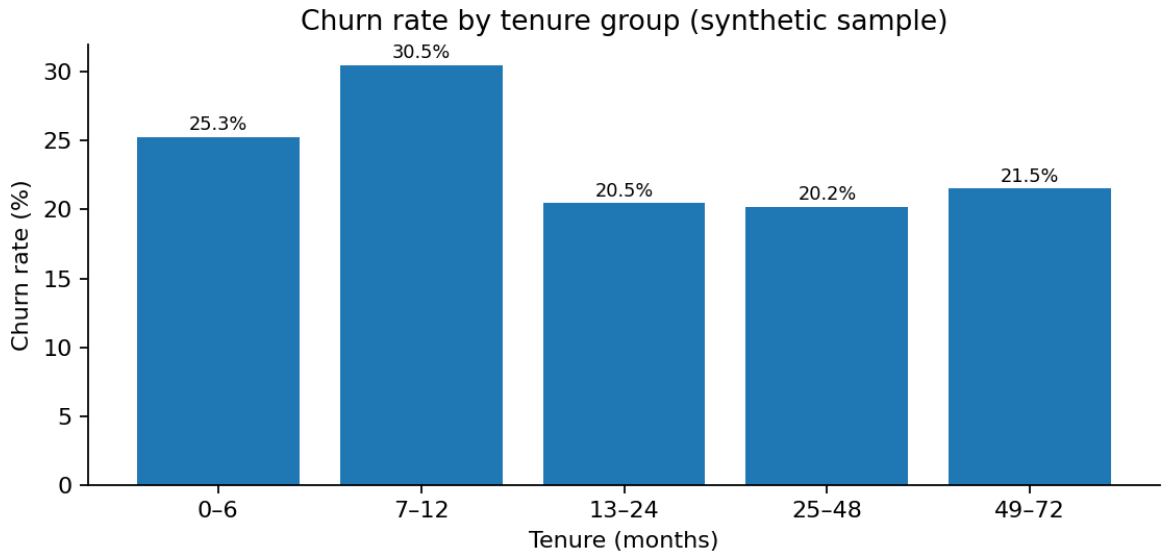
Finding: The combined pilot cohort (monthly contract + under 12 months, or 3+ tickets) contains 251 customers; churned customers in this group have ■55,512 in associated monthly charges.

Action: Planning scenario: a 5–10% relative reduction in this cohort's churned-customer charge exposure would correspond to roughly ■2,776–■5,551 per month. This is an illustrative scenario, not a forecast.

3. Evidence snapshots

These charts summarise descriptive differences in the synthetic sample. Use the same chart types after rerunning the analysis on the supplied task CSV.





4. Impact range and assumptions

The proposed pilot cohort contains 251 customers under the demo rule: (monthly contract AND under 12 months' tenure) OR 3+ support tickets in the previous 90 days. Churned customers in that cohort have ■55,512 in associated monthly charges.

Illustrative planning scenario: if the pilot preserved 5–10% of this cohort's churned-customer monthly-charge exposure, the equivalent would be about ■2,776–■5,551 per month. This scenario is not a model-based forecast and is not proof that an intervention will work.

To estimate actual incremental impact, randomly assign eligible customers to treatment and holdout groups, define the retention window in advance, and compare retention and net revenue after accounting for discounts, contact costs, and customer eligibility.

5. Limitations and safeguards

• The bundled dataset is synthetic, not operational company data; all demo metrics must be recalculated on the supplied CSV.

• The dataset is a snapshot and may not include the full timing of cancellation, billing, or customer contact.

• Group differences are descriptive associations; they do not establish causation or prove that a particular intervention will reduce churn.

• Monthly charges linked to churn are not the same as lifetime value or realised lost revenue; discounts, margins, and contract obligations are not modelled.

• Small groups and extreme values should be checked before making decisions; missing, duplicate, impossible, and extreme values should be documented rather than silently removed.

• The pilot impact range assumes 5–10% relative preservation of exposure and should be treated only as a scenario for planning.

6. Measurement plan

When	Measure	Decision rule
Before launch	Baseline churn, cohort size, monthly charges, contact cost	Agree metric definitions and eligibility
Weekly	Contact reach, opt-outs, unresolved tickets, complaints	Pause if customer harm or complaint rates rise
After 30/60/90 days	Retention difference vs holdout; net retained margin	Scale only if the effect is credible and economically positive

Conclusion

Use the analysis to decide whom to test first, not to claim who will churn or why. A controlled pilot with clear safeguards is the next evidence-generating step.

Source alignment: EdVyro Customer Churn Analysis Guide. This example uses synthetic records and must be refreshed with the supplied customer_churn_sample.csv before final submission.